

See also: The Statute of Anne 106–107 ■ The Sherman Antitrust Act 170–173
■ The Whistleblower Protection Act 274 ■ The WIPO Copyright Treaty 286–287



key commodities were in the hands of just a few huge businesses known as trusts, which controlled entire sections of the US economy, such as oil, steel, railroads, and sugar. These giant trusts were, in essence, monopolies with complete control of the market. Prices soared, service dwindled, and the public demanded action. President Theodore Roosevelt proclaimed himself a “trustbuster” and in 1904, he deployed the Sherman Antitrust Act, which outlawed price fixing to force the break-up of the Northern Securities Company, a railroad conglomerate.

But Roosevelt’s efforts were not enough. Big business was booming, and the rich were getting richer while many workers were stuck on low pay in dead-end jobs. People felt capitalism was rigged—a belief confirmed when both Standard Oil and American Tobacco were convicted of antitrust offenses in 1911. Trustbusting became the key issue in the 1912 presidential elections that brought Woodrow Wilson to power.

A new government agency

Wilson’s administration passed the Clayton Antitrust Act in 1914, which created legal powers to curb trusts by targeting mergers. However,

The Bosses of the Senate (1889).

This cartoon by Joseph Keppler depicts corporate interests, such as copper, tin, and coal, as huge money bags looming over the Chamber of the US Senate.

pursuing trusts through individual cases would quickly clog up the courts, so Congress also brought in the Federal Trade Commission Act. This bill outlawed “unfair methods of competition” and created a new government agency, the FTC, with broad powers to regulate business. To avoid political influence, only three of the five board members could be from the same political party.

The FTC could investigate evidence from consumers, media, and businesses; review cases; and issue rulings directly. Later Acts extended its remit to cover “unfair or deceptive acts or practices in or affecting commerce.” With the help of new regulatory bodies such as the Food and Drug Administration (FDA), the FTC has played a huge role in shaping US business over the past century. ■



Great corporations exist only because they are created and safeguarded by our institutions.

Theodore Roosevelt
26th US president (1901–1909)



Ida Tarbell

Born in Pennsylvania in 1857, Ida Tarbell was a pioneer of investigative journalism. She is best known for her 1904 book, *The History of the Standard Oil Company*, published as a series of articles in *McClure’s Magazine* from 1902 to 1904, which presented evidence that Standard Oil was rigging the prices that railroads paid for oil. The book has been called “the single most influential book on business ever published in the United States” by American author and historian Daniel Yergin.

A prolific and popular writer during a 64-year career, Tarbell was known for taking complex subjects and breaking them down into easy-to-understand articles. She also traveled across the US on the lecture circuit to speak on subjects including world peace, politics, tariffs, labor practices, and women’s issues. Tarbell died of pneumonia in a hospital in Bridgeport, Connecticut, in 1944.